State and Local Government Client | Mark Cuban Template

Prepared for Board and Senior Leadership · Pharmacy Benefit Management Services Agreement, Model Template v3.5 · Analysis: September 1, 2026

FIDUCIARY ALIGNMENT SCORE

92

EXCELLENT

BOARD BRIEF

Where This Contract Stands

A pharmacy benefit manager sits between your plan and the pharmacy, deciding what your plan pays, what the pharmacy receives, and how much manufacturer money reaches you. Most agreements leave the space between those three numbers open. This one closes it: every dollar arising in connection with the plan is assigned to one of six named categories, and any dollar outside them is retained in breach and recoverable. A named officer must now certify, quarterly and annually, that all of it has been disclosed and remitted, and a knowingly false certification is grounds for immediate termination. That construction produces perfect scores on pricing, manufacturer revenue, fiduciary standard, exit rights, and administrative fee transparency. The gap is narrow and specific. Conflict of interest scores 70 against a Gold floor of 75, because the agreement regulates vendor-owned pharmacies and supply chain entities thoroughly but never requires the winning bidder to state what it actually owns.

6	3	1	0	0
EXCELLENT	GOOD	FAIR	CONCERN	RED FLAG

“ THE BOTTOM LINE

This is the strongest pharmacy benefit agreement in our reference set on pricing, manufacturer revenue, and fee transparency, and it is four sentences of drafting away from a Gold designation.

THREE THINGS THE BOARD SHOULD KNOW

DESIGNATION

Silver today, Gold within reach

The Data Sovereignty designation requires two conditions met independently. The overall score must clear a threshold, and each of five specific provisions must clear a floor. This agreement clears the Gold score threshold at 92 against 90. It misses the Gold provision floor on conflict of interest, which scores 70 against 75.

DISTANCE TO GOLD

Four additions, three points

State that plan data is the sole property of the plan sponsor and extend it to member, eligibility, accumulator, and derived data. Extend the conflict warranty to principals and their immediate families. Require ninety days notice of material network changes. Add an annual cost benchmark with forward targets. Those four take the score to 95 and produce a Gold designation.

WHAT CHANGED

One provision moved, and it was the one asked for

Administrative fee transparency moved from 95 to 100 because a scheduled officer certification was added. The data, audit, utilization management, and termination provisions were all expanded substantially without moving a score, because the specific sentences holding data ownership and conflict of interest below the floor were not among the sections revised.

01

Why this matters

A PBM contract is one of the largest line items on your health plan budget.

The pharmacy benefit accounts for roughly a quarter of healthcare spend at most employers, and the PBM contract shapes every dollar of it: which drugs are covered, what the plan pays, what manufacturers pay back, and what the plan sponsor can verify.

Three things make this contract worth a closer look right now.

COSTS ARE RISING

Pharmacy spending continues to outpace medical inflation. Without strong contract language, employers absorb list-price increases, rebate clawbacks, and undisclosed fees without recourse.

BOARDS ARE ACCOUNTABLE

Applicable law and CAA 2026 require plan sponsors to oversee the service providers they hire and to document that oversight. That duty reaches the PBM contract itself. A well-negotiated contract gives leadership the tools it needs to monitor performance.

DISCLOSURE RULES ARE TIGHTENING

Recent federal requirements (CAA 2026) obligate plan sponsors to verify, document, and report on pharmacy spending in ways older contracts make difficult. The contract is where this readiness either exists or doesn't.

02

What a strong PBM contract does

Ten things every well-negotiated contract handles.

A well-negotiated PBM contract supports the plan sponsor's responsibility to deliver the right drug, to the right participant, at the right price, with documentation sufficient to demonstrate to the board, the auditors, and regulators that the plan is being managed prudently.

We evaluate ten contract provisions, grouped into three categories.

ACTS IN YOUR INTEREST

Three provisions about whether the PBM's incentives align with yours.

1. Does the contract acknowledge the plan sponsor's oversight role?
2. Does the PBM avoid steering decisions toward its own affiliates?
3. Does the formulary prefer the cheapest equally-effective drug?

SHOWS THE MATH

Three provisions about whether you can see and verify what you're paying.

1. Are manufacturer payments passed through to the plan?
2. Are all rebates disclosed, on schedule, with no clawbacks?
3. Are administrative fees fully itemized and predictable?

CONTROL AND OVERSIGHT

Four provisions about whether you can monitor performance and exit if needed.

1. Do you own your claims data without restriction?
2. Can you audit the contract on your terms?
3. Can you use point solutions without economic penalty?
4. Can you transition to a new PBM cleanly if needed?

03

Where this contract stands

ACTS IN YOUR INTEREST

85 GOOD

P1	Fiduciary commitment	100
P6	Conflict of interest	70
P8	Lowest net cost	85

SHOWS THE MATH

100 EXCELLENT

P2	Pass-through pricing	100
P3	Rebate handling	100
P10	Fee transparency	100

CONTROL AND OVERSIGHT

92 EXCELLENT

P4	Data ownership	86
P5	Audit rights	98
P7	Vendor flexibility	85
P9	Clean exit	100

FIDUCIARY ALIGNMENT SCORE

92 EXCELLENT

Excellent tier, at or above the 90-point threshold. Fiduciary-aligned protections are documented across the provision set.

Ten scored 60 or above. The weakest area is alignment. The PBM's incentives may not consistently support the plan's.

04

What's at stake

Three areas where the current contract limits leadership's options.

AREA 1 · MONEY YOU MAY BE LEAVING ON THE TABLE

- **Spread closed in both directions.** Every dollar paid by the plan must reconcile through six named categories, and no residual value may be retained by the vendor or any related entity beyond the administrative fee. Where a pricing guarantee runs the other way and the pharmacy is owed more than the plan is billed, the vendor funds the difference from its own resources without limitation to its compensation, and may not bill the plan, a member, or a pharmacy for it.
- **Related entity pharmacies priced at cost.** Every claim dispensed by a pharmacy the vendor owns or shares economics with is invoiced at net acquisition cost plus a stated dispensing fee, with no margin of any kind, in any channel. Acquisition cost is defined net of every rebate, chargeback, volume credit, and prompt-pay discount from any source, and how a pharmacy labels itself has no pricing effect.
- **A public price ceiling that now reaches brands.** For any generic or biosimilar listed on a designated public pharmacy site, and for any brand matched on identical product code, the ingredient cost the plan pays may not exceed that published price. The ceiling can only lower the plan's cost, never raise it, and member cost sharing is capped at the same ceiling.
- **Members always pay the lowest available price.** Member cost share is the least of the plan copay or coinsurance, the plan's own claim cost, the public benchmark ceiling, and the pharmacy's cash price, and coinsurance may never be computed on more than the plan's claim cost. If a member buys the drug more cheaply outside the plan, the amount paid still counts toward the deductible and out-of-pocket maximum.
- **A named officer signs for it.** Quarterly and annually, a named officer with authority over the business must certify in writing that all manufacturer revenue has been disclosed and remitted, all purchasing economics disclosed, no prohibited spread exists, and every related entity is identified. A knowingly or recklessly false certification is a material breach and cause for immediate termination.

AREA 2 · THINGS YOU CAN'T CURRENTLY VERIFY

- **No ownership representation.** The agreement regulates vendor-owned pharmacies and supply chain entities thoroughly, and this version widened the definition to reach contractual and white-label arrangements. It still never requires the winning bidder to state which pharmacies, wholesalers, or purchasing organizations it owns. A plan sponsor comparing bids cannot compare structures it did not ask about.
- **No advance notice of network changes.** No provision requires the vendor to tell the plan sponsor before the pharmacy network changes. A member can learn a pharmacy left the network at the counter.
- **Conflict warranty stops at entities.** Disclosure obligations reach the vendor, everything it controls, everything it shares economics with, and its subcontractors. They do not reach company principals or their immediate family members.
- **No annual cost benchmark.** Nothing requires the vendor to compare this plan's per-member cost against its book of business for similar clients, or to set improvement targets for the coming year. The price reporting added in this version is detailed and measures price against an acquisition benchmark, which is a different question from whether this plan's cost is competitive.
- **Carve-out rights are named for dispensing only.** The plan sponsor may use any outside pharmacy or purchasing source without consent and without penalty, and this version added implementation deadlines and service credits that make the right operational. The right to carve out clinical management, alternative funding, international sourcing, or rebate aggregation to a separate vendor is still not named, and the agreement does not say the sponsor may engage a second pharmacy benefit manager.

AREA 3 · WHERE THE COMPANY MAY BE EXPOSED

- **Data ownership is stated narrowly.** Claims data, the pricing list, the specialty drug list, and formulary files are the plan's property. Member, eligibility, and accumulator data are not named, the word sole is not used, and derived and de-identified data are not addressed anywhere. This version rebuilt the data access architecture around that sentence without changing it.
- **Sharing is not barred, only selling.** The vendor may not sell, license, or monetize plan data. Sharing it with a third party for no fee is not addressed.
- **The vendor funds the audit allowance.** The plan sponsor selects any auditor with no vendor approval and no claim limits, and controls how findings are treated. The allowance funding the audit is nonetheless stated as the vendor's obligation, which invites a question at procurement review.
- **One route remains for withholding upstream records.** The vendor must structure every purchasing relationship so records are legally available and must drop any entity that refuses. Where it claims disclosure is barred by law it carries the burden, supplies a legal opinion, and the price resets in the plan's favor. The prior version also stated flatly that foreign law and corporate separateness were never excuses, and that sentence is worth restoring alongside the new process.
- **Blanks are no longer construed against the vendor.** The prior version deemed any blank left at execution filled at the value most favorable to the plan. This version bars execution while material economic terms are incomplete but drops the most-favorable default, relying on fallbacks stated in an exhibit that was not provided.

05

What this is not about

Common questions about scope.

This analysis focuses on contract structure, not operational performance or vendor selection.

- Which pharmacies, wholesalers, distributors, and purchasing organizations does the bidder own or hold a financial interest in, and will it state them in an exhibit?
- Will the bidder commit to ninety days advance notice of any material network change, including the addition or removal of a related entity pharmacy?
- Will the bidder deliver an annual comparison of this plan's per-member cost against its book of business for similarly situated clients, with improvement targets?
- Does the bidder agree that derived and de-identified data from plan utilization remains plan data and may not be shared or commercialized without consent?
- Can the Exhibit E audit allowance be restated as a credit against the administrative fee, controlled and paid by the plan sponsor?

- Will the transition period be priced at no charge, and if a per-claim run-out fee is used, what is the rate and the run-out period?

06

What to do next

The steps to take, in priority order.

1. Add the ownership representation exhibit and the ninety-day network notice. How far these lift conflict of interest depends on what the winning bidder discloses.
2. Add the sole-property data ownership sentence covering member, eligibility, accumulator, and derived data. One sentence closes three sub-issues.
3. Add the annual cost benchmark with forward improvement targets. This is the largest single point gain available.
4. Name the right to engage another pharmacy benefit manager and enumerate the clinical, alternative funding, international sourcing, and rebate aggregation carve-outs.
5. Restore the two sentences this version dropped: the bar on foreign law and corporate separateness as excuses for non-production, and the rule construing any blank against the vendor.
6. Complete Exhibits A through I and the optional addendum pricing before award, which Section 14.10 already requires.

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FIDUCIARY ALIGNMENT SCORE

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NEGOTIATION REPORT

The contract gaps to address with Mark Cuban Template, in priority order.

This report distills the contract's one scoreable gap into a prioritized agenda. One is a Concern or Fair finding where contract language is incomplete. For each, this report supplies the current gap, the existing contract language, the fiduciary risk, model language to propose, and the talking points to support the conversation.

6	3	1	0	0
EXCELLENT	GOOD	FAIR	CONCERN	RED FLAG

PRIORITY SUMMARY

#	Prov.	Rating	Issue	Score
1	P6	FAIR	**Conflict of Interest & Network Neutrality** The agreement builds a complete architecture around related entity conflicts and never asks the counterparty to state what it owns. Three additions close the distance.	70

WHAT'S INSIDE THIS REPORT

- → Current contract gap by provision
- → Fiduciary risk analysis
- → Talking points for the conversation
- → Citation to current language
- → Model contract language to propose
- → Priority checklist by category

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PRIORITY 1

P6 Conflict of Interest & Network Neutrality

FAIR 70

GAP SUMMARY

The agreement builds a complete architecture around related entity conflicts and never asks the counterparty to state what it owns. Three additions close the distance.

FIDUCIARY RISK

This is the only provision below the seventy-five point threshold, and because conflict of interest is one of the five provisions carrying the Data Sovereignty designation, this provision alone holds the contract at Silver. The exposure is not that the architecture is weak. It is the strongest in the reference set. The exposure is that a plan sponsor evaluating competing bids cannot compare ownership structures it never asked the bidders to disclose in the agreement, cannot reach a principal or a family member who holds an interest personally, and cannot learn about a network change until after it has happened.

CURRENT CONTRACT LANGUAGE

> *"Section 1.1 now defines three tiers of related entity, reaching material equity, management rights, profit participation, purchasing control, and entities affiliated through contract rather than equity. Section 2.4 requires disclosure of every economic conflict including related entity ownership of any pharmacy, purchasing organization, wholesaler, or manufacturer relationship touching Plan Claims. Section 3.2(a) invoices every related entity pharmacy claim in any channel at net acquisition cost with no margin of any kind. Section 5.3 requires disclosure of any new arrangement within thirty days. No provision asks the vendor to represent its ownership as of execution, extends the warranty to principals or immediate family members, or requires notice of network changes.*

MODEL CONTRACT LANGUAGE

> *"PBM represents and warrants that Exhibit A-5 states every ownership or financial interest held by PBM, any PBM Related Entity, its principals, or their immediate family members in any pharmacy, including mail order and specialty pharmacies, and in any pharmaceutical manufacturer, wholesaler, distributor, or group purchasing organization. PBM shall update Exhibit A-5 within thirty (30) days of any change, and the Section 2.6 certification shall extend to its completeness. PBM shall provide the Plan Sponsor ninety (90) days advance written notice of any material change to the pharmacy network, including any addition or removal of a PBM Related Entity pharmacy and any change affecting Member access."*

TALKING POINTS

- → The architecture already in the agreement is stronger than any contract in the reference set. What is missing is the disclosure that lets a plan sponsor compare bidders on it.
- → Naming ownership in an exhibit costs a bidder nothing if it has nothing to disclose, and tells the plan sponsor exactly what it is buying if it does.
- → The new three-tier related entity definition reaches contractual and white-label arrangements. A representation is what turns that reach into something a sponsor can verify at bid time.
- → This provision is the only one below the Gold floor. Closing it is the least expensive path to a Gold designation.

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PRIORITY 2

P7 Carve-Out & Vendor Rights

GOOD 85

GAP SUMMARY

The retaliation bar is complete and the implementation mechanics are new and strong. What remains is the scope of the enumerated carve-out categories.

CURRENT CONTRACT LANGUAGE

> *Section 3.7 permits the Plan Sponsor to designate any "pharmacy, direct-purchase source, manufacturer program, public pharmacy, mail-order pharmacy, specialty pharmacy, cash-pay source, or other lawful dispensing arrangement" without PBM consent, and now requires production implementation within thirty days of complete specifications, a defined go-live acceptance procedure, and automatic service credits for delay. The enumeration covers dispensing sources and does not name another pharmacy benefit manager, alternative funding, international sourcing, rebate aggregation, or clinical program management.*

MODEL CONTRACT LANGUAGE

> *"The Plan Sponsor is not required to use PBM exclusively and may engage another pharmacy benefit manager. In addition to the sources named above, the Plan Sponsor may carve out specialty pharmacy, alternative funding programs, international drug sourcing, rebate aggregation, and clinical management to independent vendors at any time upon notice, on the same terms and with the same protections this Section provides to an Alternative Drug Source, including the implementation, go-live, and service credit provisions."*

TALKING POINTS

- → The retaliation bar is already written the way it should be, and the new implementation timetable and service credits make it operational. This adds nothing to either.
- → Naming the five program categories converts a general right into one a sponsor can exercise without argument about whether a service is a dispensing arrangement.

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PRIORITY 3

P8 Lowest Net Cost & Clinical Integrity

GOOD 85

GAP SUMMARY

The cost commitment and clinical independence are both settled and now measured across both benefits. The gap is benchmarking against the vendor's own book.

CURRENT CONTRACT LANGUAGE

> *Section 6.1 now defines total net Plan cost to include pharmacy spend, medical spend, administration, site-of-care costs, Member cost, manufacturer revenue, acquisition concessions, and adherence and disruption effects, and bars narrowing it to pharmacy economics. Section 3.8 bars any change to a drug's benefit assignment or site of care without prior written approval and bars compensation that varies with either. Section 3.6 delivers quarterly claim-level reconciliation and a detailed price distribution report. No provision requires a per-member cost comparison against the vendor's book of business or forward improvement targets.*

MODEL CONTRACT LANGUAGE

> *"PBM shall deliver annually, without request, a report comparing the Plan's pharmacy cost per member per month to PBM's book of business for similarly situated clients, stating year-over-year change and its principal drivers, generic and biosimilar utilization, and Member cost sharing, together with specific improvement targets for the following twelve (12) months. The report shall be delivered within ninety (90) days after each contract year and shall be a deliverable under Exhibit B."*

TALKING POINTS

- → The reporting added in this version measures price against an acquisition benchmark. This measures plan cost against the market, which is a different question and the one a board asks.
- → The plan sponsor cannot build this benchmark from its own data. It is the one piece of market intelligence only the vendor holds.

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PRIORITY 4

P4 Data Ownership & Rights

GOOD 86

GAP SUMMARY

Access and integration expanded substantially in this version. The ownership sentence did not change, and it is now the whole of the gap.

CURRENT CONTRACT LANGUAGE

> *"All Claims data, the MAC List, the Specialty Drug List, and formulary files are the Plan's property; PBM shall not sell, license, or monetize Plan data in any form." Section 9.4 now fixes a complete data and integration specification, bars portal-view-only and manually extracted formats from satisfying any data obligation, and permits the Plan Sponsor and its auditor to run any analytics continuously without rate-limiting. Section 9.5 adds an unconditional, cost-free right to see claims before adjudication.*

MODEL CONTRACT LANGUAGE

> *"All Claims data, eligibility data, Member data, accumulator data, the MAC List, the Specialty Drug List, and formulary files, together with all data derived from them including data from which identifiers have been removed, are the sole property of the Plan Sponsor. PBM shall not sell, license, monetize, share, or otherwise disclose Plan data in any form to any third party without the Plan Sponsor's prior written consent, except as required by applicable law. Where the Plan Sponsor consents to any commercial use, the Plan Sponsor shall receive fair compensation."*

TALKING POINTS

- → One sentence closes three sub-issues and ten provision points. Nothing in the agreement contradicts it today.
- → This version built an extensive access architecture on top of an ownership clause that did not move. Naming de-identified and derived data forecloses the one argument the plan sponsor has no answer to.

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PRIORITY 5

P5 Audit Rights & Verification

EXCELLENT 98

GAP SUMMARY

Audit rights sit at the top of the reference set. Two small items separate this provision from complete alignment.

CURRENT CONTRACT LANGUAGE

"

MODEL CONTRACT LANGUAGE

"*"PBM shall bear its own cooperation costs. Any audit allowance shall be provided as a credit against the Administrative Fee, and no payment, subsidization, or credit by PBM shall be applied toward the cost of any audit. PBM may not excuse non-production of any record required under Section 9.2 by asserting confidentiality obligations, corporate separateness, or that PBM does not possess the record; where PBM asserts that disclosure is prohibited by law, the procedure stated in this Section applies."*

TALKING POINTS

→ Both items are drafting rather than negotiation. The allowance already gives the vendor no lever over auditor selection, scope, or findings, and restating it as a fee credit removes the question entirely.

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PATH TO IMPROVEMENT

From current score to projected outcome.

CURRENT	CRITICAL ITEMS	ALL PRIORITIES
92	95	100
EXCELLENT	EXCELLENT	EXCELLENT

No provision scores in the Red Flag band. Completing all priorities reaches 100 (Excellent).

PRIORITY CHECKLIST

NON-NEGOTIABLE 4

- ☐ Require the winning bidder to state its pharmacy and supply chain ownership in the agreement itself (Provision 6, Issues 6.1 and 6.2)
- ☐ Add ninety days advance notice of material network changes (Provision 6, Issue 6.6)
- ☐ Add an annual cost benchmark against the vendor's book of business with forward improvement targets (Provision 8, Issue 8.3)
- ☐ State that Plan data is the sole property of the Plan Sponsor and extend the statement to member, eligibility, accumulator, and derived data (Provision 4, Issue 4.1)

IMPORTANT 4

- ☐ Extend the conflict warranty to principals and their immediate family members (Provision 6, Issue 6.5)
- ☐ Name the right to engage another pharmacy benefit manager in Section 3.7 (Provision 7, Issue 7.1)
- ☐ Enumerate alternative funding, international sourcing, rebate aggregation, and clinical program carve-outs in Section 3.7 (Provision 7, Issue 7.2)
- ☐ Restore the Section 5.2 sentence barring confidentiality, foreign law, corporate separateness, and non-possession as excuses for non-production, alongside the legal-prohibition process rather than in place of it (Provision 5, Issue 5.2)

RECOMMENDED 7

- ☐ Restructure the Exhibit E audit allowance as a credit against the administrative fee so no vendor payment touches audit cost (Provision 5, Issue 5.4)
- ☐ Bar sharing of Plan data with third parties, not only sale, license, and monetization (Provision 4, Issue 4.3)
- ☐ Define de-identified data and confirm it remains Plan data (Provision 4, Issue 4.4)
- ☐ Elect the no-charge option for the Section 12.4 transition period, or cap the run-out fee and state the run-out period
- ☐ Restore the Section 14.10 rule construing any blank against the vendor at the value most favorable to the Plan
- ☐ Complete Exhibits A through I and the Addendum J pricing before award, as Section 14.10 already requires
- ☐ Preserve Sections 1.5, 1.6, 1.7, 2.3, 2.5, 2.6, 4.4, 5.4, 7.1, 7.5, 12.3, and 12.4 without modification in any redline. These carry the five provisions scoring 100

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